Private Wealth 2026

Last Updated August 11, 2026

Monaco

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1. Tax

1.1 Tax Regimes

The Principality of Monaco imposes no income taxes on individuals, regardless of nationality. There are no capital gains taxes, property taxes or school taxes. The principality raises revenue through:

- value-added tax (known as TVA) on most goods and services, the general rate of which is 20%;
- registration taxes on various types of transactions; and
- to a limited extent, gifts and estate taxes.

Gift and estate taxes are only applied to Monaco situs assets, at a rate that depends on the degree of relationship between donor and donee, as follows:

- 0% between spouses, ascendants and descendants (parents and children);
- 4% on persons having entered into civil unions;
- 8% between siblings;
- 10% between aunts/uncles and nieces/nephews;
- 13% between other relatives; and
- 16% between unrelated parties.

Transfers to trusts are taxed in the same manner, depending on the relationship between the settlor and the beneficiaries. However, the 0% rate may not be applicable where the settlor, the trustees or a protector have discretion to modify the beneficiaries.

The trust tax treatment does not apply to foundations or other types of fiduciary relationships. It is specific to trusts. Trust revenue is otherwise not subject to tax.

There is a different tax treatment for trusts created under Monaco Law 214 of 1936, which will be subject to a tax of up to 1.7% on all assets transferred to the trust (and notarial fees of 1.5%), regardless of whether or not the assets are based in Monaco. It is possible to reduce that one-time tax to an annual 0.20% tax on the assets held by the trust, in the trust document.

Generation-skipping transfer taxes are unknown.

One unique feature of Monaco gift law is that gifts must be made by notarial act; otherwise, they may be considered invalid, which then incurs notarial fees. There are, however, exceptions.

1.2 Exemptions

There are no exemptions.

1.3 Income Tax Planning

Because of the favourable tax regime in Monaco, the opportunities for tax planning may be limited.

1.4 Pre-Immigration and Exit Planning

Because of the favourable tax regime in Monaco, the pre-immigration or exit planning opportunities are limited.

1.5 Taxation of Real Estate Owned by Non-Residents and Non-Citizens

Real estate transactions are subject to registration taxes, which are based on a percentage of the value of the property, and are customarily paid by the purchaser. Notarial fees of 1.5% will also apply.

The registration taxes are 4.75% if the property is purchased by an individual (regardless of nationality or residence) or by a Monaco civil (non-trading) company held by individuals (regardless of nationality or residence). The registration taxes are 7.5% in all other cases of indirect ownership.

The cost of purchasing a “new build” directly from the promoter is subject to value-added tax, currently at 20%, which is normally incorporated in the price. In addition, there will be the 1.5% notarial fee and a 1% registry fee.

No taxes are applied during the period of ownership, and there are no capital gains taxes on resale. The owner is required to contribute to the building common charges but that is a contractual obligation and not a tax.

1.6 Stability of Tax Laws

Monaco eliminated income taxes in 1869. The principality has no national debt. The convention concerning tax with France was enacted in 1962 and has withstood the test of time.

While there is increased pressure generally on “tax havens”, Monaco legitimately does not consider itself a tax haven. Monaco businesses that gain more than 25% of their turnover from sources outside of Monaco are subject to a business profits tax of 25%, applied in the same manner as France taxes company profits. The banks of Monaco are subject to the regulation of the French ACPR (*Autorité de contrôle prudential et de resolution*). On top of having no national debt, Monaco regularly benefits from budgetary surpluses. Monaco will have to align itself with any French value-added tax or company profits tax adjustments in the future, but there is no expectation that there will be pressure to enact an income tax or to change the gift and estate tax rates.

1.7 Transparency and Increased Global Reporting

Monaco has adhered to the Common Reporting Standard, and its banks comply strictly with the US Foreign Account Tax Compliance Act requirements. In fact, there are only a limited number of banks that will accept US citizens as clients.

2. Succession

2.1 Cultural Considerations in Succession Planning

Monaco hosts some 145 different nationalities among its 39,000 residents, 10,000 of which are Monégasque citizens. A broad range of cultural factors play a role in succession planning, including:

- the distinctions between civil and common law;
- familiarity with trusts and fiduciary structures; and
- structuring for succession.

2.2 International Planning

The Code of Private International Law (CDIP) adopted by Monaco in 2017 has provided more certainty and different tools with which to plan for wealth transfers to future generations. The CDIP codified the possibility of adopting the national law of the testator (professio juris) to govern their worldwide estate, and at the same time created an exception to forced heirship rules when the law of domicile is applied to a Monaco-domiciled decedent whose national law does not recognise forced heirship, or imposes it in a different manner than Monaco. Currently, however, if a national law is chosen, the estate must first be probated in the country whose law was selected. A law recently presented to Monaco’s national parliament may change this, but it has not yet been enacted.

Monaco-based families create single-family offices to concentrate and professionalise the management of family assets and facilitate the transfer to the next generation, which will have had an opportunity to be trained in the methods and values instilled in the family office, and to know the professionals hired to run and advise them.

Both the CDIP and EU Reg 650/2012 provide that a single law will apply to a succession, even where there are assets in multiple jurisdictions (with certain exceptions). In principle, this serves to streamline the succession plans, while the tax effect will always have to be examined on a state-by-state basis.

2.3 Forced Heirship Laws

Under Monaco’s forced heirship laws, a parent may not disinherit a child, other than for indignity (which has to be very grave indeed). Where Monaco law applies (as is the case if a dying person is domiciled in Monaco and has a residence permit that creates a rebuttable presumption of domicile), the forced heirship is as follows:

- 50% must go to the child, is there is one child;
- two thirds must be shared if there are two children; and
- 75% must go to three or more children.

The testator is free to dispose of the remainder.

A spouse is not a reserved heir. If there are no children, parents are reserved heirs in direct line, of 25% each.

The CDIP provides that reserved heirship does not apply where the national law of the decedent does not require it (for example, with English decedents). It also provides that forced heirship created by the nationality of the decedent will apply even if it would not do so in Monaco (for example, with Italian surviving spouses and the *legittima*).

Forced heirship will allow disappointed reserved heirs to claw back any gifts made to other reserved heirs that exceed the percentage provided for, to their detriment.

The general rule is that it is impossible to renounce these rights in the succession of a person who is still living (although a choice of law rule may produce a different result). Therefore, consensual agreements of that nature will not work. It is possible, however, to validly constitute trusts, which do not respect the forced heirship allocations. It is also possible to formally make gifts that provide they may not be “clawed back”.

2.4 Marital Property

The default marital property provision in Monaco law is that of separate property. However, if a couple was married somewhere other than Monaco (which is often the case with international families), the practice is to look at the matrimonial property regime applicable in the place of marriage, and the existence of a prenuptial agreement. As a rule, the matrimonial regime applicable in the place of the first two years of marriage will apply, in the absence of any other arrangement.

Property purchased during the marriage can be individually owned, or jointly owned (in indivision).

Unless the spouses adopt the community property regime, or unless this is their regime because of the place they were first domiciled after their marriage, each spouse is free to dispose of property without the consent of the other (except for the matrimonial domicile).

Monaco respects prenuptial and postnuptial agreements. Under the CDIP, spouses are free to choose the matrimonial regime of their first matrimonial domicile, the law of one of the spouses’ nationalities, the law of one of the spouse’s domiciles, or the law of the place where they were married. The applicable law can be modified by mutual agreement and under the rules of the law chosen to apply.

Monaco prenuptial agreements are signed before one of the three Monaco notaries. They do not provide for capital sums or maintenance to be made in the event of divorce, as this is considered contrary to public order.

2.5 Transfer of Property

Property is valued at the time of transfer (or date of death), so historical value has no relevance, since there is no capital gains tax.

2.6 Transfer of Assets: Vehicle and Planning Mechanisms

The transfer of property-holding foreign company shares is exonerated from the tax of 4.75% that is otherwise applicable to any change of beneficial owner, if this transfer is made to spouses or ascendants/descendants.

2.7 Transfer of Assets: Digital Assets

Email accounts, cryptocurrencies or other tokenised assets would be part of the estate, but there would be no taxation as it would be difficult to qualify them as “Monaco-based assets”.

3. Trusts, Foundations and Similar Entities

3.1 Types of Trusts, Foundations or Similar Entities

Monaco does not have a trust law, but it has long recognised the need for foreign residents whose national laws provide for trusts to be allowed to arrange their affairs by establishing trusts; Law 214 was enacted in 1936 for that purpose, and provides that foreigners with the appropriate nationality, who reside in Monaco, can set up trusts before a Monaco notary. The choice of trustees under Law 214 is limited to corporate trustees approved by the Monaco court of appeals. The co-trustees can be appointed together with the corporate trustees. If they are not on an approved list of individuals, they may only be co-trustees of one 214 Trust. The law applicable to the trust need not be the law of the nationality of the settlor.

However, the CDIP has confirmed that, because of Monaco’s adherence to the Hague Convention on the international recognition of trusts, non-214 Trusts will also be valid, if they are validly constituted under the convention.

3.2 Recognition of Trusts

Trusts are recognised in Monaco under Law 214 of 1936 if constituted in that manner, or under the Hague Convention. There is a possibility of conflict if the settlor’s nationality provides for forced heirship, and a reserved heir does not receive an unfettered right to their reserved portion of the estate. The transfer of assets to the trust may then be subject to the *rapport* or “claw back” action.

3.3 Taxation of Trusts, Foundations and Similar Entities Located in Other Jurisdictions

There are no tax consequences for a citizen or resident of Monaco who serves as a fiduciary or benefits from a trust.

3.4 Tax Consequences of Fiduciary and Beneficiary Roles

There are no published cases or instances where the fact that a beneficiary or settlor is also a fiduciary has led to a determination that a trust is to be disregarded.

4. Family Business Planning

4.1 Asset Protection

The use of corporate vehicles in Monaco is limited by the fact that most Monaco corporations require authorisations from the government to come into existence. Those that do not, such as civil non-trading companies, are unlimited liability companies. Civil companies are often used to purchase property, and are not regarded as “asset protection vehicles”. However, the statutes (by-laws) of the companies, setting out share ownership, are not public, and therefore afford a certain level of privacy as to ownership. This does not prevent creditors that have a legitimate interest from obtaining a court order to produce the statutes, and thereafter alleging that the companies are fictitious, in order to freeze the assets held. Asset protection planning in Monaco today creates a reputational risk, and will certainly raise questions with the banking establishments.

4.2 Succession Planning

The use of family offices to professionalise the management of family assets and allow a smoother transition to a more trained next generation is widespread in Monaco. Family constitutions are rare but not unknown, particularly in ultra-high net worth families. The fact that rights waivers on future successions are generally invalid prevents binding decisions in that respect. However, clarity and good records of gifts made and financial support given to family members will minimise – although not eliminate – the likelihood of conflicts.

4.3 Transfer of Partial Interest

Lack of marketability and control is one viable criteria to lower fair market value, particularly as regards shares of civil companies holding property in Monaco or France.

5. Wealth Disputes

5.1 Trends Driving Disputes

There is an anecdote of Voltaire and Frederic the Great of Prussia seeing a family in the square and the King remarking how happy they were. Voltaire replied that this was because they had not had to divide the estate.

Wealth disputes in families are triggered in Monaco, as elsewhere, by a sense that the aggrieved party has been unfairly treated, or that another party took an unfair advantage. With trusts and similar entities, there may be resentment among the beneficiaries at having third-party non-family members seemingly control the wealth, and receiving fees for doing so, or because of a lack of transparency in the management of the assets. The disputes may result in civil lawsuits and sometimes criminal charges being levelled against the members of the family and the beneficiaries of the estate.

5.2 Mechanism for Compensation

If Monaco law applies, the Civil Code provides for structured methods of compensating aggrieved parties, such as the *rapport*, which is a claw back in value of the thing gifted or disposed of. There can be a determination that a sale at less than the fair market price was in fact a “disguised gift” that justifies compensation. The compensation awarded in this manner by the courts will then be taken into account in the division of the estate. Failure to report the existence of an asset belonging to the decedent or an estate is considered *recel successoral*. This is not a criminal offence but the responsible party loses all rights to inherit the assets not voluntarily disclosed. There would not be significant “damages” per se in a “common law” sense.

6. Roles and Responsibilities of Fiduciaries

6.1 Prevalence of Corporate Fiduciaries

There is no specific distinction for corporate or other professional fiduciaries in Monaco. The general obligation is to execute contracts in “good faith”, and this would apply to the fiduciary whose responsibilities arise as a result of the fiduciary relationship. Any bad-faith dealing might give rise to criminal responsibilities in “abuse of confidence”, which is a form of fraud.

6.2 Fiduciary Liabilities

It is possible for a trust or similar entity that is considered to have been improperly constituted or the equivalent of a “sham” to be disregarded, thus allowing the piercing of the veil. While there are reported cases that deal with corporations, there are no reported cases on this point regarding trusts, foundations or other entities. Ordonnance no 8.635 of 21 April 2021 defines a trust or similar entity as that “juridical construction” where the assets are placed under the control of a third party that is distinct and not part of the patrimony of the third party. This would prevent the trust or similar entity from incurring a risk of liability for the unrelated actions of the trustee or fiduciary. Exculpatory clauses and delegating authority for investments could protect fiduciaries from liability, as would the case law in the jurisdiction to the law of which the trust is subject.

6.3 Fiduciary Regulation

There is an obligation for a trust created or transferred to Monaco, or having a business connection with Monaco, to be registered at the Registry of Trusts under modifications of Law 214 enacted in 2024. Where the trustee is a foreign entity, there must be a local representative, which must have up-to-date, “adequate, exact and current information” backed by documentation on the effective beneficiaries of each trust and concerning the identity of:

- the settlor;
- the trustee or trustees;
- the protector(s), where applicable; and
- any natural person who ultimately exercises effective control over the trust.

Where the trust is discretionary and the beneficiaries are not specified, the term “beneficiaries” refers to those whose primary interest is served by the creation of the trust or by its effects.

The terms trust and trustee are to be understood in accordance with the Hague Convention. Trustees may be professionals (for example, depending on the jurisdiction, a lawyer or a trust company) if they are remunerated to act as trustee in a professional capacity, or non-professional (for example, a person acting without remuneration on behalf of their family).

The Register of Trusts is not public. The information will be provided to any party showing a legitimate interest under the anti-money laundering laws, and to foreign governments requesting the information through international commissions rogatory.

The fact that a beneficiary of a foreign trust is a Monaco resident would not require the registration of the trust. Operation of a bank account or indirect ownership of property by the trustee is considered a “business connection” requiring registration.

6.4 Fiduciary Investment

This is not applicable in Monaco.

7. Citizenship and Residency

7.1 Requirements for Domicile, Residency and Citizenship

Foreigners intending to reside in Monaco must request a permit to do so, if they intend to spend more than three months in the principality. A European Union or European Economic Area national can apply directly to the service of foreign residents of the Monaco police. Non-EU or EEA nationals must first obtain a French visa to allow establishment on a long-term basis in Monaco, and then a Monaco resident card. The resident permit is valid for one year. It is renewed annually for the first three years, and is then renewed for three years, three times; after 12 years of residence it is possible to obtain a ten year card

The candidate must provide complete documentation, including police records, proof of a lease or ownership of a residence, and an attestation from a Monaco bank. The suggested level of assets to allow a bank to provide such an attestation is EUR500,000, although many Monaco private banks require multiples of that amount.

The criteria for retaining residence (ie, renewing one’s residence card when it comes up for renewal) are that:

- the person has made Monaco their principal place of sojourn by spending more than 183 days in the principality;
- it is the centre of their interests; or
- the person spends more time in Monaco than in any other place, even if less than half a year.

Citizenship can only be requested after ten years of residence. The first three requests are routinely refused, and requests cannot be made in less than three-year intervals. Citizenship is very rarely granted, and there is no possibility to appeal a refusal.

7.2 Expeditious Citizenship

There are no expeditious or investment-based routes for individuals to obtain citizenship in Monaco (see **7.1 Requirements for Domicile, Residency and Citizenship**).

8. Planning for Minors, Adults with Disabilities and Elders

8.1 Special Planning Mechanisms

Special planning mechanisms exists, such as a mandate for future protection for a third party. If the adult person requires it, they can be placed under guardianship, particularly as regards their assets.

8.2 Appointment of a Guardian

The appointment of a guardian can be triggered by a request from the family, a doctor, or any third party concerned about the person’s welfare. This will normally be initiated by a request to the prosecutor, who will then begin an investigation by the police and the social services, and a doctor will be appointed to examine the person, under the control of the guardianship judge. The guardianship judge may interrogate the person concerned, if they are capable of communicating. The case is then referred to a full three-person court for a hearing and a determination. The person named as guardian will be required to file an annual report to the guardianship judge, and may not dispose of assets without the court’s approval.

8.3 Planning for Incapacity

The equivalent of a lasting power of attorney exists in the form of a *mandat de protection future*. This is established before a Monaco notary, by the person wishing to name their future guardian, and in the presence of the future guardian, who must agree. The mandate is triggered by a finding of incapacity by a doctor, under the control of the court.

8.4 Elder Law

Monaco prosecutors are particularly protective of the elderly. Article 278-1 of Monaco’s Penal Code sanctions “abuse of weakness”, which includes the abuse of the vulnerable elderly. Under the civil law, a court-supervised guardianship process to determine incompetence can be triggered by a notice to the prosecutor from a doctor, or by a bank or professional that determines it is possible the person is under undue influence of a not-disinterested third party. There are different degrees of guardianship – *curatelle,curatelle renforcé* and *tutelle* – assessed after medical examinations, interviews with the person and the families, and a full closed-door court hearing at which the person can be present and represented by counsel. The different degrees of guardianship allow for different types of autonomy. The purpose of the law is always to ensure the dignity and the maximum amount of autonomy to the person concerned.

9. Planning for Non-Traditional Families

9.1 Children

There is no difference in the treatment of children born in or out of wedlock. There are two levels of adoption (*simple* and *plénière*), but the CDIP provides that foreign adoptions are valid if they are not contrary to Monaco public order. Adopted children’s rights to inherit are recognised.

Although Monaco law does not provide a specific framework for surrogacy, children born to surrogate mothers abroad are fully recognised as children of the parents bringing them to Monaco, as long as those persons are regarded as legal parents under the foreign country’s law.

9.2 Same-Sex Marriage

Monaco does not recognise same-sex marriages, even where they are validly contracted abroad, as confirmed by a recent ruling of the *Tribunal Suprème* (Monaco’s highest administrative court). However, there is a provision for a civil union, which provides many of the advantages of marriage, including reduced (if not exonerated) estate taxes.

9.3 Cohabitation and Unmarried Couples

Cohabitation between unmarried persons creates no rights and no benefits for purposes of tax and succession planning.

10. Charitable Planning

10.1 Charitable Giving

Monaco laws apply a 16% tax to donations to unrelated parties, including foreign charities. Such bequests must be approved by three high-level government councils and the sovereign prince. The process takes at least a year, and the fact of the donation must be published in the official journal to allow interested parties to oppose the bequests.

10.2 Common Charitable Structures

Monaco’s law on foundations dates back to 1922, providing a certain permanence but also representing constraints. Authorisation to create a foundation may take as long as one year. The alternative is the association, which has members and no limited liability, unlike the foundation, and can be freely constituted. This is the entity most frequently used for charitable purposes.

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